AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2018

Principles of Accounting Paper II

Time: 2 hours 20 minutes Marks: 70

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are THIRTEEN questions. Answer ALL questions. Choices are specified inside the paper.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 5 Marks)

a. Differentiate between gross profit mark-up ratio and gross profit margin ratio on the basis of the given details (Attempt any TWO). (4 Marks)

Basis	Gross Profit Mark-up Ratio	Gross Profit Margin Ratio
Concept		
Formula		
Example		

b. Surti Enterprises sells goods at a gross profit margin of 25%. If the sales revenue is Rs 100,000 and the cost of sales is Rs 75,000, then calculate the gross profit mark-up ratio. (1 Mark)

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Q.2. (Total 4 Marks)

Hyper Limited is a limited liability company. The details extracted from the books of Hyper Limited as on September 30, 2017 are as follows:

Particulars	Amount (Rs)
Net profit for the year ended September 30, 2017	780,000
12,000, 8% preference share of Rs 100 each	1,200,000
80,000 Ordinary share of Rs 10 each	800,000

At the end of the year, the Directors of Hyper Limited proposed the following:

- To transfer Rs 200,000 to general reserve.
- To pay the preference dividend (30% of the total preference dividend was paid during the year as interim dividend).
- To pay dividend of Re 1 for each ordinary share.

If the profit and loss appropriation account showed a profit of Rs 43,000 on October 01, 2016, then prepare the profit and loss appropriation account (retained earning account) for the year ended September 30, 2017.

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Q.3. (Total 4 Marks)

Differentiate between public and private limited companies on the basis of given features (Attempt any FOUR).

S. No.	Basis of Comparison	Public Limited Company	Private Limited Company
1	Issue of prospectus		
2	Minimum members		
3	Minimum number of directors		
4	Transfer of shares		
5	Statutory meeting		
6	Permission of public subscription		

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Q.4. (Total 3 Marks)

Complete the given table by writing the account head to be Debited (Dr) or Credited (Cr). (Attempt any THREE transactions.)

(**Note:** The first transaction has been done for your assistance.)

Transaction/ Details	Account Head to be Debited (Dr)	Account Head to be Credited (Cr)
Net income transferred to retained earning	**Profit and loss account**	**Retained earning**
Cash dividend paid		
Stock dividend paid		
Creation of general reserve		
Accomplishment of purpose of reserve		

Q.5. (Total 3 Marks)

The statement of financial position of Alpha Limited showed the following reserves.

Classify each given reserve as capital reserve, general reserve or specific reserve.

Reserves	Classification
Reserve for debenture sinking fund.	
Reserve to meet future contingencies.	
Reserve for revaluation of assets and liabilities.	

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Q.6. (Total 6 Marks)

Naushad Limited provides the following details about the non-current assets (fixed assets) at the end of the accounting year June 30, 2017.

Particulars	Cost	Accumulated Depreciation	Details of Depreciation
Machine	Rs 400,000	Rs 85,000	25% reducing balance method

On December 31, 2017, the directors decided to buy a new machine with latest technology for better quality and increased production. Due to this reason, the old machine was exchanged with a new machine costing Rs 1,200,000 and the trade in allowance was agreed to be 20% of the cost of the new machine.

a. Calculate the amount of gain or loss on disposal of machine as on December 31, 2017. (4 Marks)

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b. Prepare the general entry to record the disposal of old machine. (2 Marks)

S. No.	Particulars	P.R.	Debit	Credit

Q.7. (Total 5 Marks)

Sara and Tara are equal partners in a partnership firm with capital of Rs 200,000 and Rs 300,000 respectively. They follow fluctuating capital method for recording capital. As drawings were permitted by partnership deed, the following withdrawals were made by each partner.

- Sara withdrew cash Rs 12,000 and merchandise worth Rs 28,000.
- Tara withdrew furniture worth Rs 35,000 and computer worth Rs 18,000.

a. Prepare the necessary general entries to record and close the drawing account of each partner. (3 Marks)

S. No.	Particulars	P.R.	Debit	Credit

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b. If there are no additional information regarding profit and loss for the year and additional investment, then calculate the amount of capital of each partner at the end of the year for each partner. (2 Marks)

Q.8. (Total 5 Marks)

Hafsa and Hania are the owners of two businesses of the same nature. On June 30, 2017 they decided to merge their businesses and took all the assets and liabilities at their book value. At the time of merger the statement of financial position (balance sheet) of each business was as under.

Assets			**Capital and Liabilities**		
Particulars	**Amount (Rs)**	**Amount (Rs)**	**Particulars**	**Amount (Rs)**	**Amount (Rs)**
	Hafsa	**Hania**		**Hafsa**	**Hania**
Cash	40,000	30,000	Trade payables	17,000	20,000
Trade receivables	28,000	21,000	Bank overdraft	3,000	---
Inventory	32,000	29,000	Bank loan	180,000	110,000
Machine	280,000	200,000			
Furniture	40,000	100,000	Capital	220,000	250,000
Total	**420,000**	**380,000**	**Total**	**420,000**	**380,000**

Prepare the statement of financial position (balance sheet) after the merger of both the businesses.

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Q.9. (Total 5 Marks)

Qadir and Rahil are equal partners in a firm with opening capital of Rs 900,000 and Rs 800,000 respectively. The partnership deed has the following provisions for profit and loss distribution.

- Each partner will be given Rs 15,000 as monthly salary.
- Qadir is allowed 1% of the total sales for the year as commission.
- Both partners will receive 10% interest on the opening capital balances.

The total sales and net profit for the year ended December 31, 2017 amounted to Rs 2,000,000 and Rs 850,000 respectively.

Prepare the profit and loss distribution summary for the year ended December 31, 2017.

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Q.10. (Total 5 Marks)

The receipt and payment account of Alpha Trust as on December 31, 2017 is as under.

Receipt and Payment Account

Balance b/d	12,500	Rent	24,200
Subscription 2016	1,650	Insurance	22,430
Subscription 2017	144,500	Sundry expenses	3,600
Subscription 2018	1,200	Purchase of new machine	156,000
Machine disposal	60,000		
Donation received	70,000	Balance c/d	83,620
	289,850		289,850

Details of non-current assets (fixed assets) are as under.

Particulars	Non-Current Assets (Cost)	Accumulated Depreciation as on January 01, 2017
Building	Rs 800,000	Rs 120,000
Furniture	Rs 240,000	Rs 40,000

Additional Information:

- Insurance payable at the end of the year is Rs 1,170.
- Rent expense for the year amounted to Rs 24,800.
- Depreciation on building and furniture is to be charged at rate 10% of cost.
- Capital fund as on January 01, 2017 was Rs 140,000.

Prepare income and expenditure account of Alpha Trust for the year ended December 31, 2017.

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Q.11. (Total 5 Marks)

The following information has been taken from the accounting records of Saya Limited as on December 31, 2017.

Particulars	January 01, 2017	December 31, 2017
Trade receivables (accounts receivable)	Rs 36,800	Rs 47,200
Inventory	Rs 29,300	Rs 23,900
Trade payables (accounts payable)	Rs 42,000	Rs 38,500

Other Information:

- Net profit before interest and tax for the year amounted to Rs 238,000.
- Depreciation expense amounted to Rs 13,000.
- Income tax for the year was Rs 3,800.

Prepare operating activities section of cash flow statement for Saya Limited as on December 31, 2017.

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Q.12. (Total 10 Marks)

EITHER

a.

The following details have been extracted as on September 30, 2017 from the books of a grocery store owned by Shani.

Particulars	October 01, 2016	September 30, 2017
Inventory	Rs 27,600	Rs 45,800
Trade receivables (accounts receivable)	Rs 79,400	Rs 63,700
Trade payables (accounts payable)	Rs 23,900	Rs 32,300
Capital	Rs 70,000	To be determined

Shani has also prepared the following receipt and payment account for the year ended September 30, 2017.

Receipt and Payment Account

Balance b/d	33,700	Payment to suppliers	40,000
Cash received from customers	63,000	Wages paid	3,000
		Drawings	12,000
		Purchases	3,700
		Balance c/d	38,000
	96,700		96,700
Balance b/d	38,000		

i. Calculate the amount of credit sales from the given information. (3 Marks)

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ii. Calculate the amount of total purchases from the given information. (4 Marks)

iii. Calculate the gross profit/ loss for the year ended September 30, 2017. (3 Marks)

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OR

b. Mohsin Khan is a sole trader. He does not maintain proper accounting records but has provided the following information for the year ended May 31, 2017.

Particulars	Amount (Rs)
Trade receivables (accounts receivable)	64,000
Allowance (provision) for doubtful (bad) debts	3,000
Loan from family members to be paid in 5 years	47,000
Bank balance (overdraft)	14,500
Inventory	23,000
Machine	750,000
Allowance for depreciation on machine	220,000
Building	900,000
Allowance for depreciation on building	315,000
Bank loan to be paid on December 31, 2017	15,000

The following adjustments are required on May 31, 2017.

- Building should be depreciated at 15% per annum under straight line method.
- Machine should be depreciated by 25% per annum using the reducing balance method.
- Inventory was overstated by Rs 1,500.
- Allowance (provision) for doubtful debt is to be maintained at 5% of trade receivables (accounts receivable) amount.

Calculate the amount of capital by preparing the statement of affairs as on May 31, 2017.

(10 Marks)

Statement of affairs as on May 31, 2017

Assets	Amount (Rs)	Liabilities + Equity	Amount (Rs)

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Q.13. (Total 10 Marks)

EITHER

a. Ms Afia, Ms Sana and Ms Kiran are partners in Ideal Confectionaries Store. Their partnership is based on equal profit and loss sharing ratio. The following is the statement of financial position.

Assets	Amount (Rs)	Liabilities + Equity	Amount (Rs)
Current assets	450,000	Trade payables (account payable)	100,000
Non-current assets (fixed assets)	550,000		
		Capital - Afia	300,000
		Capital - Sana	300,000
		Capital - Kiran	300,000
	1,000,000		1,000,000

When Ms Kiran retires from the partnership firm, below are the three scenarios which can be possible.

Case 1: Ms Kiran is paid Rs 150,000 from the firm and for the balance amount a 6-months 10% notes payable is issued.

Case 2: Ms Kiran's 50% share was purchased by Ms Afia and the rest of the amount was paid from the firm resources.

Case 3: Ms Kiran's 40% shares were purchased by Ms Afia for Rs 130,000 and 60% shares were purchased by Ms Sana for Rs 200,000. The payments were made by their private sources.

Give general journal entries of the given scenarios.

S. No.	Particulars	P.R.	Debit	Credit

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S. No.	Particulars	P.R.	Debit	Credit

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OR

b. Ahmed, Saleem, and Akber were partners who share profit and loss in the ratio of 1:2:3. Their balance sheet is given as under.

Statement of financial position (balance sheet)			
Assets	**Amount (Rs)**	**Equity**	**Amount (Rs)**
Cash and bank	500,000	Trade payables (account payable)	100,000
Trade receivable (account receivable)	125,000	Notes payable	200,000
Merchandise inventory	65,000	Ahmed's Capital	300,000
Furniture and Fixture	210,000	Saleem's Capital	200,000
		Akber's capital	100,000
Total	900,000	Total	900,000

The partners decided to dissolve the partnership under the given conditions.

- Cash Rs 90,000 was collected from debtors in full settlement of their account.
- Cash Rs 150,000 received from the sale of inventory.
- Cash Rs 50,000 received from the sale of furniture and fixture.
- The account payable was settled with the payment of Rs 80,000.
- Notes payable were paid off as well as all the available balance of cash after considering the above transactions distributed among the partners.

Give entries in general journal to record the dissolution of the firm considering the given transactions and prepare a realisation account.

S. No.	Particulars	P.R.	Debit	Credit

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S. No.	Particulars	P.R.	Debit	Credit

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